

Were there other enhancements you made to the standard trend-following approach?

We had some risk-reducing approaches built into the system. We tracked a correlation matrix that was used to reduce exposures in correlated markets. If two markets were highly correlated, and the technical system went long one and short the other, that was great. But if it wanted to go long both or short both, we would take a smaller position in each.

Since correlations between markets change so radically over time, even changing sign, how long of a lookback period did you use?

We found that 60 days was about best. If you use too short of a window, you get a lot of noise; if you use too long of window, you get a lot of old information that isn't relevant.

What other risk-reducing strategies did you incorporate into the system?

We also had a risk management process that worked a bit like the old portfolio insurance strategy. If we lost 5 percent, we would shrink our positions. If we lost another few percent, we would shrink our positions more. The program would therefore gradually shut itself down, as we got deeper in the hole, and then it had to earn its way out. We would wait for a threshold point between a 5 percent and 10 percent drawdown before beginning to reduce our positions, and then we would incrementally reduce our position with each additional 1 percent drawdown.

At what drawdown point would your position be reduced to zero?

Twenty percent.

How far down did you get?

Our maximum drawdown was about 14 percent to 15 percent, by which point we were trading only about one-third of our normal base position size.

How would you get restarted if the drawdown reached 20 percent?

You wouldn't. You have to decide ahead of time how much of a drawdown would imply that the system is not as good as you thought it was, and therefore shouldn't be traded.